

Urban Decay

MINISTRY OF URBAN DEVELOPMENT

Staff: **26,535**

Wages and allowances: **Rs 453.83 crore**

Total plan and non-plan expenditure: **Rs 3,814.52 crore**

RATIONALE: To promote urban growth, transport and housing.

REALITY CHECK: Since this is largely a state subject, there is little justification for such a large edifice. This ministry is directly in conflict with the modern urban development mantra, which requires plans to be drawn up in concert with civil society.

According to the 2001 Census, India has a population of 1,027 million, of which around 28 per cent or 285 mil-

lion live in urban areas. To start with, given the overwhelming vote power of rural constituencies, urban development has never been the focus of any government. Add to this the profusion of agencies and entities and you have urban India in a shambles, be it the quality of sanitation, utilities or infrastructure. By the end of the decade, urban India is estimated to deliver two-thirds of the GDP, but little has been achieved through Central intervention. As with other ministries, the Urban Development Ministry can at best preach to state governments.

India needs to renew its old cities and develop at least 50 cities like Chandigarh to enable the population to spread out. This requires funds—Rs 1,20,536 crore just in the next seven years—and a plan where local bodies have a say. Yes, the Jawaharlal Nehru Urban Renewal

Mission is a good idea, but it is in conflict with the idea of decentralised development. The unique model that Dharavi in Mumbai is looking at for regeneration may or may not work in the slums of Delhi. The onus of developing new cities and satellite townships should be on the state governments.



Megawatt Failure

MINISTRY OF NEW AND RENEWABLE ENERGY

Staff: **378**

Wages and allowances: **Rs 17.31 crore**

Total plan and non-plan expenditure: **Rs 632.9 crore**

RATIONALE: To promote alternative sources of energy and non-fossil fuel energy systems ranging from solar to biogas.

REALITY CHECK: At best it can be a section under the Ministry of Power, where alternative sources can be factored into overall power management. The generation of ideas and new systems is best left to the Ministry of Science and Technology.

Its performance can only be termed as dismal. Consider this: India has a potential to generate 47,000 MW through wind energy, whereas installed capacity is barely 1,870 MW. Obviously capital costs for renewable energy generation systems are high, the technology is still evolving and perhaps the risks are high too. Yet, it

is difficult to defend the performance of the ministry. Indeed while India has the potential of generating 1,83,000 MW across the spectrum of alternative or renewable energy systems—ranging from wind, solar photovoltaic, solar thermal, small hydro, biomass, co-generation, geothermal, tidal, urban and industrial wastes—total installed capacity achieved (till March 2007) is an abysmal 10,406 MW. This is despite the fact that renewable energy was identified as a resource as early as in 1981, when the Commission for Additional Energy Sources was created (the ministry itself came into being in 1992). However, despite a compelling case

for its propagation, the ministry has not been able to promote the idea.



This is despite a plethora of incentives being dished out. A host of fiscal incentives are available to both manufacturers and users of renewable energy systems, which include 100 per cent accelerated

depreciation for tax purposes in the first year of installation of

systems, exemption from excise duty on manufacture of most finished products, low import tariff on capital equipment and components, soft loans, five-year tax holiday for generation projects, etc. Obviously, the ministry's existence as a solo entity has not enabled or improved performance. Modern energy management requires a holistic approach and standalone entities have no place in this structure.